

KASNEB PASTPAPERS · CPA STUDY MATERIALS

Fundamentals of Management Accounting — PREVIEW

Course: ATD — Accounting Technicians Diploma | **Level:** Level III

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

1. Management accounting versus financial accounting — *included in this preview*
 2. Classification of costs — full version only
 3. Cost-volume-profit (CVP) analysis and break-even — full version only
 4. Marginal costing versus absorption costing — full version only
 5. Budgeting, basics — full version only
 6. Standard costing and variance analysis, introduction — full version only
 7. Material and labour variances — full version only
 8. The purpose of variance analysis — full version only
 9. Full worked question — break-even and margin of safety — full version only
 10. Practice examination — KASNEB-style paper — *Question One shown below; Questions Two–Five full version only*
 11. Marking guide — model answers to the practice examination — full version only
 12. Exam technique and revision checklist — full version only
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1. Management accounting versus financial accounting

Financial accounting produces statements (profit or loss, financial position) mainly for external users (investors, tax authorities, regulators), following prescribed formats and standards, focused on the past. **Management accounting** produces information mainly for internal users (managers), with no fixed format requirement, focused on supporting planning, control and decision-making — often forward-looking (budgets, forecasts) as well as backward-looking (variance analysis of what already happened).

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB ATD paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

ATD LEVEL III — FUNDAMENTALS OF MANAGEMENT ACCOUNTING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

*Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks.
Show all workings clearly.*

QUESTION ONE

- (a) Distinguish between financial accounting and management accounting. (8 marks)
- (b) Distinguish between fixed, variable and semi-variable costs, giving one example of each. (9 marks)
- (c) Distinguish between a direct cost and an indirect cost. (3 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes cost classification, CVP/break-even analysis, marginal versus absorption costing, budgeting, standard costing and variance analysis (material and labour variances), a fully worked break-even/margin-of-safety question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.